

AMENDED AND RESTATED PROJECT DEVELOPMENT AND ADMINISTRATION AGREEMENT

THIS AMENDED AND RESTATED PROJECT DEVELOPMENT AND ADMINISTRATION AGREEMENT (this "Agreement") is made and entered into by and between the City of Cheyenne, a Wyoming municipal corporation and political subdivision of the State of Wyoming ("City of Cheyenne"), the Cheyenne-Laramie County Corporation for Economic Development, a Wyoming non-profit corporation and statutorily-authorized community development organization ("LEADS"), and Granite Peak Development Limited Partnership, a limited partnership organized under the laws of the State of Wyoming ("Granite Peak").

RECITALS

(A) On or about December 1, 2013, the City of Cheyenne applied for a Wyoming Business Ready Community-Business Committed Loan (the "Loan") in the amount of Five Million Dollars (\$5,000,000.00). In the processing of said application, it has been determined that the City of Cheyenne will receive a portion of the proposed Loan funds in the form of a Business Ready Community-Business Committed Grant (the "Grant") from the Wyoming Business Council ("WBC"). The City of Cheyenne will distribute the Loan and Grant proceeds to Granite Peak pursuant to the terms of this Agreement, the terms and conditions of a Business Ready Community-Business Committed Loan Agreement in the amount of Three Million Dollars (\$3,000,000.00) (the "Loan"), and the terms and conditions of a Business Ready Community-Business Committed Grant Agreement in the amount of Two Million Dollars (\$2,000,000.00) (the "Grant"). Said Loan and Grant funds shall be used exclusively to fund a portion of the costs of construction of a rail spur (the "Project") within the Swan Ranch Industrial Park, Cheyenne, Laramie County, Wyoming;

(B) The Swan Ranch Industrial Park includes approximately Four Thousand (4,000) acres of land which are potentially subject to development into industrial rail-served lots. The Swan Ranch Industrial Park is located generally west and south of the junction between Interstate 25 and Interstate 80, Cheyenne, Wyoming;

(C) When the City of Cheyenne submitted its application for a Wyoming Business Ready Community-Business Committed Loan, it was contemplated that the rail spur to be constructed pursuant to this Agreement would be approximately 3.8 miles (20,200 feet) in length. At the time the City submitted its application, it was understood that the purpose of the rail spur was to connect existing internal rail facilities which have been constructed by Granite Peak adjacent to a Burlington Northern/Santa Fe Railroad rail line, which is located generally south of the Swan Ranch Industrial Park, to internal rail facilities which are currently being constructed by Granite Peak adjacent to a Union Pacific Railroad Company rail line, which is located generally west of the said industrial park. It has since been determined that the rail spur should be re-designed and it is anticipated that the original purpose of the Project may be accomplished by constructing a rail spur which will be shorter than 3.8 miles (20,200 feet). If the combined value of the Loan and Grant funds exceed the cost of constructing the re-designed rail spur, and subject to the approval of the WBC, the parties wish to expend all available Loan and Grant funds for the construction of rail facilities within the Swan Ranch Industrial Park. In particular, Granite Peak anticipates that excess Loan and Grant funds

would be used to construct additional rail facilities to serve the development area between Berwick Drive and Clear Creek Parkway. For the purposes of this Agreement, the term "Project" shall include the re-designed rail spur and all additional rail facilities, if any, constructed with Loan and Grant funds pursuant to this Agreement;

(D) The parties to this Agreement understand and agree that the construction and operation of the Project within the Swan Ranch Industrial Park would promote the economic growth of the City of Cheyenne and Laramie County, Wyoming through the creation of new jobs, the diversification of economic activity, the enhancement of sales taxes, and the improvement of the property tax base;

(E) The City of Cheyenne shall be designated as the applicant for Loan and Grant funds;

(F) LEADS is a community development organization;

(G) The complex nature of the Project will require significant expenditures of time and resources for project administration. LEADS is qualified to perform project administration services as described herein for the City of Cheyenne with respect to the Project; and

(H) It is of a definable benefit to the City of Cheyenne that LEADS act as project manager for this Project.

NOW, THEREFORE, for and in consideration of the foregoing recitals and promises set forth herein, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree as follows:

1. CONTINGENCIES AND CONDITIONS:

A. It is mutually understood and agreed that this Agreement contemplates that the City of Cheyenne will, subject to the terms and conditions of the letter opinion of the City Attorney of the City of Cheyenne dated December 2, 2013, borrow the sum of Three Million Dollars (\$3,000,000.00) from the Wyoming Business Council pursuant to a promissory note and related Loan documents which will have a term of ten (10) years or less. It is further mutually understood and agreed that the City Attorney of the City of Cheyenne has not issued an opinion regarding the proposed Grant, and subject to terms and conditions as may be specified by the City Attorney, the City of Cheyenne will apply for a Grant of Two Million Dollars (\$2,000,000.00) that will be subject to a separate revenue recapture agreement payable to The WBC. It is further mutually understood and agreed that the City of Cheyenne shall not be obligated to enter into any Loan or Grant transaction with the WBC, or to distribute Loan or Grant proceeds to Granite Peak, or to perform any other duty or obligation specified in this Agreement or related Loan or Grant documents until such time as the City of Cheyenne is satisfied.

(i) that neither this Agreement, nor any related Loan or Grant documents, shall result in the imposition of any debt upon the City of Cheyenne in contravention of any constitutional or statutory limitations or requirements concerning the indebtedness of the City of Cheyenne;

(ii) that neither this Agreement, nor any related Loan or Grant documents, shall constitute a pledge of or result in the imposition of any lien, charge or encumbrance upon any tax revenues, cash reserves, or other assets or revenues of the City of Cheyenne;

(iii) that, in the event of a default with respect to the terms and conditions of this Agreement, or with respect to the terms and conditions of any related Loan or Grant agreements between the City and the WBC, that the WBC shall not have the right to seek re-payment of the principal or accrued interest of the Loan or Grant funds from any source other than the collateral to be pledged by Granite Peak to the City of Cheyenne to secure the indebtedness contemplated by this Agreement and related Loan and Grant documents;

(iv) that Granite Peak shall be responsible for any and all design, engineering, permitting and related construction costs, if any, which may be incurred by the City of Cheyenne, or the City of Cheyenne Board of Public Utilities, in the event the construction of the Project necessitates any alteration or modification in the design, alignment, materials, labor or construction schedule specified for the Southern Water Transmission Main, Phase II, which is or will be constructed within the Swan Ranch Industrial Park pursuant to easements granted prior to the execution of this Agreement; and

(v) that Granite Peak has sufficient financial resources, including funds obtained from other financing arrangements and the posting of payment and performance bonds by contractors engaged by Granite Peak to construct the Project in amounts equal to the total estimated cost of constructing and completing the Project to guarantee completion of the Project and the payment of all just claims for labor, materials, and services incorporated into the Project.

B. This Agreement and the duties and obligations of the City of Cheyenne under this Agreement are also subject to the contingency that the Loan and Grant contemplated herein are approved by the WBC and the SLIB (Wyoming State Land and Investment Board) and, in the event either of these entities disapproves the Loan or Grant, this Agreement shall become null and void and each party to this Agreement shall thereafter be responsible for its own costs and expenses associated with the development of this Agreement and the termination thereof.

C. This Agreement, and the duties and obligations of the City of Cheyenne under this Agreement, are also subject to the contingency that the Attorney General of Wyoming issues an opinion, pursuant to W.S. § 9-12-601(f), and other laws relating to the proposed Loan and Grant, certifying: (i) the legality of the Loan and Grant transactions contemplated by this Agreement; and (ii) that the City of Cheyenne may enter into the Loan and Grant transactions contemplated by this Agreement without the necessity of conducting an election.

2. PROJECT DESCRIPTION:

A. The Project will involve the construction of a rail spur and related rail facilities, including rail switches, to be constructed in accordance with final plans and specifications to be prepared by Granite Peak. The rail spur, as re-designed, will be somewhat less than 3.8 miles in length and shall run from the existing rail facilities located generally in the southerly portions of the

Swan Ranch Industrial Park to a looped connection to a Union Pacific Railroad Company rail line which is located along the western boundary of the said rail park. If approved by the WBC, excess Loan and Grant funds may be used to install additional rail facilities to serve the area between Berwick Drive and Clear Creek Parkway.

B. The rail spur shall be constructed within a non-exclusive easement to be granted, at no cost, to the City of Cheyenne by Granite Peak and related business entities owned or controlled by Granite Peak.

C. It is anticipated that the costs of construction of the rail spur, as originally designed, would have exceeded Five Million Dollars (\$5,000,000.00). In the event the combined Loan and Grant funds exceed the cost of construction of the re-designed rail spur, the excess funds may be used to construct additional rail facilities. In any event, Granite Peak shall be obligated to secure construction financing to the extent the estimated and final costs of construction of the Project exceed the sum to be distributed to the City of Cheyenne pursuant to the Loan and Grant agreements and this Agreement.

D. The rails, ties, and related rail equipment incorporated into the Project shall be owned by the City of Cheyenne during and after construction and until such time as the Loan and any Grant revenue recapture is paid in full according to the terms of the Loan and Grant agreements. Granite Peak shall enter into a lease agreement with the City of Cheyenne under which Granite Peak shall be obligated to make payments to the City of Cheyenne in amounts at least equal to the City's annual debt service under the Loan and under any Grant revenue recapture agreement. When the Loan and Grant recapture are paid in full, Granite Peak shall have an exclusive option, without further consideration, to acquire the rail, ties, and related rail equipment installed pursuant to this Agreement, and all of the City's right, title and interest in the easement in which the Project will be constructed. The rails, ties, and related equipment will be sold to Granite Peak pursuant to W.S. § 15-1-112(b) and all other applicable statutes, without advertising the sale or calling for bids, after the City of Cheyenne makes a determination that the sale will benefit the economic development of the community and holds a public hearing thereon, notice of which shall include the appraised value of all real properties at least once each week for three (3) consecutive weeks in a newspaper of general circulation in Laramie County, Wyoming.

E. It is mutually understood and agreed that there are limitations on the extent to which the present Mayor and City Council of the City of Cheyenne may enter into agreements which extend beyond the terms of their offices and which may purport to create binding obligations on future officers of the City of Cheyenne.

3. OBLIGATIONS OF LEADS:

A. Except as otherwise provided in subsection B., of this Section, LEADS, at its sole cost and expense, shall be responsible for all phases of Loan and Grant management and administration, including advising the City of Cheyenne with respect to compliance with the terms and conditions of the Loan and the Grant. LEADS shall also be responsible for advising the City of Cheyenne with regard to whether expenses incurred by Granite Peak in connection with the construction of the Project are eligible for reimbursement under the Loan or Grant.

B. LEADS shall account for and oversee the expenditure of Loan and Grant funds in accordance with the terms of the Loan, the Grant, this Agreement, state law, and the ordinances of the City of Cheyenne. As part of this obligation, LEADS shall ensure that Granite Peak has complied with any and all advertising and bidding requirements for all phases of the Project, and shall not hire, contract with, bind itself or otherwise commit Loan or Grant funds for construction or development of the Project until it has consulted with City of Cheyenne staff to ensure compliance with state advertising and bidding requirements and City policies.

C. It is mutually understood and agreed that the City of Cheyenne shall be entitled to receive interest on the Loan and Grant at the rate of one-half of one percent (.5%) per annum during the term of the Loan and that interest income must be expended for economic development purposes. It is mutually understood and agreed by the parties to this Agreement that the City of Cheyenne and LEADS shall enter into a separate agreement which shall: (i) set forth general recommendations for the expenditure of the interest income; and (ii) under which the City of Cheyenne and LEADS shall have the obligation to confer and make recommendations to the Governing Body of the City of Cheyenne with respect to the expenditure of interest income.

D. Except as provided herein, LEADS may not terminate this Agreement before the successful completion of this Project. Following such completion, LEADS may terminate this Agreement at any time upon giving the City of Cheyenne sixty (60) days prior notice.

4. OBLIGATIONS OF GRANITE PEAK:

A. Granite Peak shall be responsible for design, construction, testing and inspection of the Project subject to the requirements of the Loan and Grant, and subject to the requirements of state laws and regulations and the ordinances of the City of Cheyenne with respect to public bidding and contracting for the construction of public improvements, including Title 16, Chapter 6 of the Wyoming Statutes which requires that preference be given to Wyoming bidders for contractual services, to Wyoming laborers, workmen, and mechanics, and to materials, supplies, equipment, machinery, and products produced, manufactured, supplied or grown in Wyoming. Granite Peak shall also obtain all necessary zoning, subdivision, land development, rail construction, and rail operation permits and approvals under applicable federal, state and municipal laws and regulations, including the ordinances of the City of Cheyenne, which are necessary for the development, construction and operation of the Project (collectively, the "Development Approvals").

B. Granite Peak shall require contractors engaged by Granite Peak to construct the Project to provide payment and performance bonds, in amounts equal to the total estimated cost of constructing and completing the Project as completed and functional rail facilities.

C. The Project will be constructed and completed within twelve (12) months following the execution of the Loan and Grant documents between the City and the WBC. The Project shall be deemed to be substantially completed ("Substantially Completed" or "Substantial Completion") on the day when all of the following have occurred:

(i) the Project has been completed in accordance with final plans and specifications to be prepared by Granite Peak, and approved by the City of Cheyenne, and all applicable laws, rules and regulations, and in accordance with the terms of this Agreement, except for minor “punch list” items, the completion or repair of which will not interfere with Granite Peak’s use or occupancy of the Project; and

(ii) LEADS and Granite Peak shall have completed a joint inspection of the Project constructed under this Agreement, and have confirmed in writing that the Project has been completed in accordance with final plans, except for minor “punch list” items.

D. Convey and otherwise provide to the City of Cheyenne any documents deemed necessary by the City to guarantee the indebtedness and any other debts, obligations and undertakings to be incurred or assumed by the City pursuant to and during the term of the Loan and Grant, including without limitation, the provision of the personal guarantee of either Rich Fairservis or Ron McMurry, who are general partners in Granite Peak, and the pledging of the rails, ties, and related rail equipment within the Swan Ranch Industrial Park to the City of Cheyenne.

E. Provide the required matching dollars for the Loan and Grant, in an approximate amount of One Million Dollars (\$1,000,000.00), but, in no event, shall the matching dollars be less than fifteen percent (15%) of the total combined value of the Loan and Grant and, execute such documents as shall be necessary to grant to the City of Cheyenne a first mortgage on developable land within the Swan Ranch Industrial Park to secure payment of the Loan. Throughout the term of the Loan and Grant and for so long as there are any outstanding liabilities under the Loan or Grant, the market value of the land to be pledged to the City of Cheyenne, as first mortgagee, together with the value of the rails, ties, and related rail equipment, shall be equal to at least one hundred fifty percent (150%) of the combined value of outstanding indebtedness under the Loan and of outstanding revenue recapture obligations under the Grant. It is mutually understood and agreed that the City of Cheyenne may be asked to agree to substitutions of developable land as collateral for the Loan and Grant obligations and the City of Cheyenne agrees to act reasonably in approving such substitutions of collateral.

F. Provide quarterly reports to the City of Cheyenne regarding the Project including, without limitation, information regarding design, construction, inspection, testing, operation and maintenance of the Project and related rail facilities and to provide such other information at such times and regarding such topics as the City of Cheyenne may reasonably request.

G. Complete all reporting requirements for the Loan and Grant, including, but not limited to publishing notices, submitting reports and the prompt submission of requests for reimbursement of Loan eligible and Grant eligible expenditures to the City of Cheyenne and to LEADS, and to provide all supporting documentation for any such reimbursement requests.

H. Enter into a Lease/Purchase Agreement with the City of Cheyenne having a term of ten (10) years or less in a form substantially as set forth in Exhibit A attached hereto, under which Granite Peak shall have the right to lease the Project from the City, subject to the terms and conditions of said Lease and Purchase Agreement, including the requirements that Granite Peak: (i) provide property and casualty insurance in an amount equal to the value of the rails, ties and related

rail equipment as they are furnished for and installed in the Project; (ii) provide commercial general liability insurance coverage with limits not less than Five Million Dollars (\$5,000,000.00), which insurance coverage shall be written on policy forms typically required for main line railroad operations and which shall name the City of Cheyenne as an additional insured; (iii) require general contractors engaged in the construction of the Project to provide commercial general liability insurance coverage with limits not less than Five Million Dollars (\$5,000,000.00) to be in effect during construction and naming the City of Cheyenne as an additional insured; (iv) pay, as they become due, any and all real property and personal property taxes, of whatever type or nature, which may be assessed against the rails, ties, related rail equipment, or the real property upon or through which the Project will be constructed and to indemnify and hold the City of Cheyenne harmless from any and all such tax liabilities; (v) to pay all maintenance expenses which may be incurred during the lease term necessary to maintain the Project; (vi) to indemnify and hold the City of Cheyenne harmless from any and all claims, demands, causes of action, damages, injuries, liabilities, costs, expenses, fees, and judgments which may be imposed upon or asserted against the City of Cheyenne, including liabilities arising from the application of federal and state environmental laws and regulations which result from or arise in any manner from the construction or operation of the Project; and (vii) to pay rentals under the Lease and Purchase Agreement in amounts at least equal to the annual debt service and other financial obligations which the City of Cheyenne will owe the WBC under the Loan or Grant.

I. The Lease/Purchase Agreement, described in the preceding subsection, shall also contain provisions that, upon the discharge of all debts and obligations due under the Loan and Grant, Granite Peak shall have the exclusive option to acquire, from the City of Cheyenne, pursuant to W.S. § 15-1-112(b), all of the right, title and interest of the City of Cheyenne in and to the rails, ties, related rail equipment and the easement or easements through which the Project will be constructed, without payment or the furnishing of additional consideration of any kind. It is mutually understood and agreed that the payment of rentals under the lease, the payment of any recapture and other financial obligations to be assumed by the City under the Grant, the payment of construction expenses which exceed the original principal amount of the Loan, the payment of the costs of insuring, maintaining, and operating the Project, during the term of the Loan, and the payment of other costs and expenses to be incurred by Granite Peak pursuant to this Agreement shall constitute adequate consideration for the acquisition of the Project, additional rail facilities, and their associated easements. Upon final payment of all moneys due under the Lease/Purchase Agreement, the ownership of the rails, ties, related rail equipment, and the City's right title and interest in the easements for the Project shall be conveyed and assigned to Granite Peak, subject to the provisions of W.S. § 15-1-112(b), Section 2(D) and other related provisions of this Agreement.

J. The Lease/ Purchase Agreement shall be for a period of ten (10) years or less, at an interest rate of one percent (1%). Granite Peak agrees that payments under the Lease/Purchase Agreement shall be in amounts at least equal to the City's annual debt service under the Loan and at least equal to any revenue recapture provisions of the Grant. The parties understand that the WBC has agreed to defer principal payments under the Loan for a period of three (3) years after completion of the construction of the Project, and the parties agree that the Lease/Purchase Agreement shall reflect this payment plan. The parties further agree that one-half (1/2) of the remaining Economic Development recapture funds to be paid by Granite Peak shall be repaid to the City in the event that Granite Peak pays off early the debt owed under the Lease and Purchase

Agreement. Granite Peak shall enter into an additional Revenue Recapture agreement dealing with the Two Million Dollar (\$2,000,000.00) Grant.

K. During the terms of the Loan and Grant and for so long as there are any outstanding liabilities under the Loan or Grant, Granite Peak agrees that it shall not alter, dissolve or cause the dissolution of Granite Peak Development Limited Partnership, or to take any other action that would cause the Limited Partnership to become insolvent.

L. Respond in a timely manner to all reasonable requests by the City of Cheyenne, LEADS or the WBC regarding job creation and wage information during the term of the Lease/Purchase Agreement and during the term of the Loan and Grant.

M. Be responsible for any and all design and constructions costs associated with the Project which exceed the combined Loan and Grant funds or which are estimated to exceed, at the time of commencement of construction, the combined Loan and Grant funds. No cost associated with the Project in excess of the combined value of Loan and Grant funds (collectively "Excess Costs") shall be incurred or allowed, without the prior written authorization, in each instance, of the City of Cheyenne.

N. Provide the City of Cheyenne with copies of the final plans and specifications for the Project to be constructed under this Agreement, prior to the distribution of said plans and specifications to potential bidders.

O. After construction of the Project and during the term of the Lease/Purchase Agreement, Granite Peak shall have the sole and exclusive authority to enter into agreements relating to the operation and use of the Project so long as said operations do not impair the interests of the City of Cheyenne in the rails, ties, and related rail equipment. Granite Peak will make reasonable efforts to ensure that all rail facilities associated with the Project are operated safely, in accordance with industry standards, and in accordance with all applicable federal, state, and local laws and regulations, including laws and regulations relating to environmental protection.

5. DUTIES , OBLIGATIONS AND RIGHTS OF THE CITY OF CHEYENNE:

A. The City of Cheyenne has applied for a Business Ready Community-Business Committed Loan in the amount of Three Million Dollars (\$3,000,000.00) and a Business Ready Community-Business Committed Grant in the amount of Two Million Dollars (\$2,000,000.00). If the Loan and Grant are approved, the City of Cheyenne will enter into good faith negotiations with the WBC for the drafting and execution of Loan and Grant documents which are mutually acceptable to the City of Cheyenne and the WBC. The Parties acknowledge that as an applicant for Loan funding through the WBC, the City of Cheyenne was required to solicit citizen input through a public hearing which was conducted following required public notice. It is mutually understood and agreed that following said public hearing, the Governing Body of the City of Cheyenne passed a resolution authorizing the submission of an application for a Wyoming Business Ready Community-Business Committed Loan and that said resolution was passed subject to the condition that the final Loan documents would be subject to approval by the Governing Body prior to being executed by the Mayor of the City of Cheyenne. In the event the Governing Body does not pass a

resolution approving the final Loan and Grant documents for this Project, the City of Cheyenne shall then have the right to declare this Agreement null and void and of no further force or effect, whereupon, the parties shall be released from performing all obligations, covenants, and promises contained in this Agreement, and each party shall bear and be solely responsible for the payment of all costs and expenses of any kind or nature that it has incurred pursuant to this Agreement. The parties further agree that nothing in this Agreement shall be construed to require the City of Cheyenne to proceed with the Project if it does not receive the requested funding from the WBC pursuant to Loan and Grant documents acceptable to the City of Cheyenne, nor shall anything be construed to require the City of Cheyenne to expend funds for the Project in excess of the funds received pursuant to the Loan and Grant.

B. The City of Cheyenne will receive, review and submit to the WBC in a timely fashion Loan and Grant reports and requests for Loan and Grant reimbursements submitted to the City of Cheyenne by LEADS and Granite Peak. Granite Peak recognizes that the submittal and payment process may take up to sixty (60) days, and will include a statement in all contracts with engineers, designers, contractors, sub-contractors and others who will be paid with Loan or Grant funds (collectively “payees”) that informs the payees that payment for invoices may be delayed by at least sixty (60) days.

C. The City shall forward all Loan and Grant reimbursements received from WBC to Granite Peak in a timely fashion for all appropriate expenses paid by Granite Peak for the construction of the Project.

D. Notify the WBC that LEADS is the designated community development organization with respect to the administration of the Loan and Grant.

E. In the event of a default by Granite Peak, the City of Cheyenne shall have the obligation to make reasonable attempts to attach and liquidate the assets to be pledged by Granite Peak to secure repayment of the Loan and all other recapture and financial obligations of the Grant, but the City of Cheyenne shall have no obligation to pay any portion of the principal, accrued interest, or other costs or penalties associated with said Loan or Grant from its general tax revenues, funds or reserves.

F. In the event LEADS breaches this Agreement, the City of Cheyenne shall either designate another community development organization to act as Project administrator or assume administration of this Agreement directly.

6. BREACH AND REMEDIES:

A. In the event any party to this Agreement claims that any other party is in breach of any of the terms or conditions hereof, that party shall notify the defaulting party in writing of the alleged breach, including within such notice the facts of the conduct constituting the breach and the steps believed necessary to cure the breach. Any notice of breach shall be sent to all parties to this Agreement. All parties to the Agreement shall meet within five (5) working days of such notice to discuss and attempt to resolve the breach. If, within fifteen (15) working days after the notice of breach, the breach has not been cured, or if the breach cannot reasonably be cured within such time,

or if steps have not been undertaken to reasonably cure the breach, then the non-defaulting party or parties may take the steps reasonably necessary to enforce its rights under this Agreement by referring the matter to non-binding mediation. In the event mediation fails to resolve the alleged breach, the non-defaulting party or parties may elect to initiate litigation, subject to the requirements and limitations stated in this Agreement and provided by applicable law relating to the governmental immunity of the City of Cheyenne.

B. This Agreement will be construed under the laws of the State of Wyoming and the appropriate venue and jurisdiction for any injunctive relief to enforce the terms may be brought only in the First Judicial District, Laramie County, Wyoming. The City of Cheyenne does not waive its governmental immunity with respect to any action for damages arising out of or in any way related to this Agreement and the parties to this Agreement do hereby waive, release and forever disclaim any claims, demands or causes of action against the City of Cheyenne which would result in any way in the City of Cheyenne be subjected to any money judgment. It is the express intent of the parties to this Agreement that in the event of a breach committed by the City of Cheyenne, the sole and exclusive remedy of any non-defaulting party shall be an action for declaratory or injunctive relief, including, without limitation, an action to compel specific performance of this Agreement.

7. REPRESENTATIVES/NOTICES:

A. The City of Cheyenne designates the Mayor of the City of Cheyenne as its "Representative." Granite Peak designates Dan W. Guerttman as its "Representative." LEADS designates Randy Bruns, CEO, as its "Representative." All notices and invoices required in this Agreement shall be in writing, properly addressed to the party's Representative as follows:

To City of Cheyenne:	City of Cheyenne Mayor's Office 2101 O'Neil Avenue, Room 310 Cheyenne , Wyoming 82001
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To Granite Peak:	Granite Peak Development P.O. Box 51568 Casper, Wyoming 82605
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To LEADS:	Cheyenne LEADS One Depot Square 121 West 15 th Street, Suite 304 Cheyenne, Wyoming 82001
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B. Any notice to be given herein shall be deemed given three (3) days after the same is placed in the U.S. Mail, certified, return receipt requested, to the last known address of the addressee, or on the date such notice is actually delivered, if delivered by any means other than by certified mail.

C. When dealing with each other in the performance of this Agreement, the parties may assume without verification that the designated Representative is acting with authority with respect to all dealings between the parties. Conversely, only the designated Representatives have authority to represent and bind the parties relative to matters regarding the performance of this Agreement, except that the parties understand that the Mayor of the City of Cheyenne does not have authority to bind the City of Cheyenne with respect to this Agreement without an affirmative vote of the City's Governing Body.

8. REPRESENTATIONS AND WARRANTIES OF GRANITE PEAK:

A. Granite Peak represents and warrants that it is a limited partnership duly organized, validly existing, and in good standing under the laws of the State of Wyoming and that it has full power and authority to enter into and perform this Agreement. The execution and delivery of this Agreement and the performance and observance of its terms, conditions, and obligations, have been duly authorized by all necessary principals of Granite Peak. This Agreement is a valid and binding obligation of Granite Peak, enforceable in accordance with its terms, except as such enforcement may be limited by bankruptcy, insolvency, reorganization, moratorium, or other similar laws affecting enforcement of creditors' rights. Nothing contained in this Agreement is intended or shall be construed as limiting the rights of the City of Cheyenne to enforce the terms of this Agreement against any of the principals of Granite Peak who have executed personal guarantees.

B. The execution and delivery of this Agreement and the consummation of the transactions contemplated herein will not conflict with any organizational or governing documents of Granite Peak Development Limited Partnership, or any mortgage or lien to which Granite Peak is a party or is subject or by which Granite Peak, or its properties are bound or affected, or in any material respect with any, agreement, instrument, order, judgment, decree, law, rule, regulation, or any other restriction of any kind or character to which Granite Peak is a party or is subject or by which Granite Peak or its properties are bound or affected. No consent, approval, authorization, or order of, and no notice to or filing with any court or governmental authority or third party is required in connection with the execution, delivery, or performance by Granite Peak of this Agreement or to consummate any transactions contemplated hereby or thereby, except as specifically provided in this Agreement.

C. No Pending Lawsuits. There are no actions, suits, or proceedings against Granite Peak pending or, to the knowledge of Granite Peak, threatened before any court or by or before any governmental instrumentality, which could have a material adverse effect on the ability of Granite Peak to perform its obligations under this Agreement.

D. No Default in Court Orders or Similar Agreements. There exists no default by Granite Peak with respect to any order, writ, injunction, decree, or demand of any court or governmental instrumentality against it, and Granite Peak is not in default of any agreements similar to the Agreement set forth herein with any other state, city, governmental agency, or any other party. This representation specifically includes a representation that Granite Peak is not in default with respect to any agreement, option or other legal instrument by which Granite Peak has the power to acquire, subdivide, and develop property within the Swan Ranch Industrial Park.

E. Signatory Authority. Each and every person signing this Agreement on behalf of Granite Peak has the full authority to sign on behalf of and bind Granite Peak to this Agreement.

9. REPRESENTATIONS AND WARRANTIES RELATING TO THE PROPERTY:

A. Granite Peak, Swan Ranch, LLC, a Wyoming limited liability company ("Swan Ranch"), and Clear Creek Land Company, LLC, a Wyoming limited liability company ("Clear Creek"), as the legal and record owners of property affected by this Agreement, represent and warrant that:

(i) Hazardous Materials. To the best of Granite Peak's knowledge, no Hazardous Waste (as defined herein), has been used, generated, released, stored or disposed within the easement to be used for construction of the Project contemplated by this Agreement, or sub-soil thereof, other than fertilizers and pesticides used in connection with normal landscape, livestock or agricultural activities, provided, however, that it is mutually understood and agreed that following construction of the Project, hazardous materials may be transported and stored on the rail facilities associated with the Project, and Granite Peak, Swan Ranch, and Clear Creek agree to indemnify and hold the City of Cheyenne harmless from any and all claims, demands, causes of action, damages, injuries, costs, fees, and other liabilities which may result from or arise in any way from the transport or storage of hazardous materials in or upon the Project.

(ii) No petrochemical tank or tanks containing Hazardous Materials have been located on or below the surface of the land within the said easement;

(iii) The land enclosed with the said easement is not subject to any federal, state or local "Superfund" lien, proceeding, claim, liability or action, for the cleanup, removal or remediation of any such Hazardous Waste used, generated, released, stored or disposed of on the Property. For purposes of this Agreement, "Hazardous Waste" means those wastes which are defined in the Wyoming Environmental Quality Act and specifically in W.S. § 35-1-103(d)(vii).

B. Other Interests. Neither Granite Peak, Swan Ranch, Clear Creek, nor any other owner of the land within the easement through which the Project will be constructed are bound by any contract with any third party holding any option to purchase, right of first refusal or right to purchase the land subject to the said Project easement or any portion thereof, except for the option of Granite Peak to acquire such land from Swan Ranch and/or Clear Creek and except for the option of Granite Peak to acquire said easement and the improvements located thereon from the City of Cheyenne as provided in the Lease and Purchase Agreement.

C. No Leases or Contracts. Other than the Lease and Purchase Agreement to be executed by the City of Cheyenne and Granite Peak, there are no leases or other agreements (whether oral or written), other than those disclosed in writing to and approved by City of Cheyenne, affecting or relating to the right of any party with respect to the possession of the land which will be enclosed within the easement to be used for the construction of the rail spur, or any portion thereof which are obligations which will affect the said easement or any portion thereof. There are

no maintenance, service, operation, development or other contracts or agreements (whether oral or written) affecting or relating to the land within the said easement.

D. Existing Land Use Restrictions and Permits. To the best of Granite Peak's knowledge, the land to be enclosed within the easement for the Project is currently zoned to permit the operation of rail facilities for business purposes. To the extent any re-zoning, certification or permitting is required, the City of Cheyenne and Granite Peak agree to cooperate and extend their respective good faith and best efforts to effectuate the change(s) necessary.

10. NECESSARY ACTS AND FURTHER ASSURANCES:

The parties shall at their own cost and expense execute and deliver such further documents and instruments and shall take such other actions as may be reasonably required or appropriate to evidence or carry out the intent and purposes of this Agreement or to show the ability to carry out the intent and purposes of this Agreement.

11. BENEFICIARIES:

This Agreement is negotiated for the exclusive benefit of the parties hereto. There are no intended third party beneficiaries of this Agreement.

12. NO WAIVER OF IMMUNITIES:

Notwithstanding any other provision of this Agreement, nothing in this Agreement shall be read to constitute or to require a waiver of any rights, defenses, limitations or privileges of the City of Cheyenne under the doctrines of sovereign or governmental immunity, nor shall it in any way be deemed a waiver of any of the requirements or immunities provided by the Wyoming Governmental Claims Act.

13. AVAILABILITY OF FUNDS :

The obligations of the parties are conditioned upon the availability of funds appropriated or allocated for use for the Project under this Agreement and under such Loan and Grant agreements as may be entered into between the City and the WBC. If funds are not allocated and available as needed for the parties to perform this Agreement, then this Agreement shall terminate and shall be of no further force or effect. Each party shall notify the other party at the earliest possible time if the Agreement will or may be affected by a shortage of funds. No penalty shall accrue to any party in the event this provision is exercised, and no party shall be obligated or liable for any future payments due or damages as result of termination under this section.

14. COMPLIANCE WITH LAWS:

LEADS and Granite Peak shall comply with all applicable municipal, state, and federal ordinances, laws, rules and regulations as they are now or as they are enacted, and shall not engage in any practice which may have the effect of discriminating against any person or entity on the basis of disability, age, sex, race, creed, color, national origin, ancestry, or religion.

15. CONTRACTUAL MATTERS:

A. Performance Matters. With respect to the performance of this Agreement, the parties agree as follows:

B. Nondiscrimination. Granite Peak and LEADS shall comply with Presidential Executive Order 11246 entitled "Equal Employment Opportunity," as amended by Presidential Executive Order 11375, and as supplemented in the Department of Labor Regulations (41 CFR Part 60), the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (W.S. § 27-9-105 *et seq.*), and the Americans with Disabilities Act (hereinafter referred to as "ADA"), 42 U.S.C. 12101, *et seq.*

C. Publicity. Any publicity given to the Project described herein including, but not limited to, notices, information, pamphlets, press releases, research, reports, signs, and similar public notices prepared by the parties to this Agreement shall identify LEADS, the City of Cheyenne and WBC as the sponsoring agencies.

D. In the event the City of Cheyenne does not pass a resolution authorizing the Mayor to sign this Agreement and authorizing the Mayor to execute Loan and Grant documents as may be acceptable to the City, the City of Cheyenne shall have the right to declare this Agreement null and void and of no further force or effect.

E. The City of Cheyenne and its duly authorized representatives shall have access to all books, documents, papers, and records of LEADS and Granite Peak which are pertinent to this Agreement and which are not legally privileged. Additionally, LEADS and Granite Peak shall abide by all regulations imposed by funding sources or governmental agencies, such as auditing requirements, payroll affidavits, and other documentation or verification.

F. Third Party Beneficiary Rights. The parties do not intend to create in any other individual or entity the status of a third party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the parties to this Agreement, and shall inure solely to the benefit of the parties to this Agreement. The provisions of this Agreement are intended only to assist the parties in determining and performing their obligations under this Agreement. Except as provided herein with respect to the governmental immunities of the City of Cheyenne, the parties to this Agreement intend and expressly agree that only signatories to this Agreement shall have any legal or equitable rights to seek to enforce this Agreement, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this Agreement, or to bring an action for the breach of this Agreement.

G. WBC Business Committed Loan and Grant funds must be used to supplement existing funds for program activities and cannot replace, or supplant, non-federal funds that have been appropriated for the same purpose.

H. Force Majeure. No party shall be liable for failure to perform under this Agreement if such failure to perform arises out of causes beyond the control and without the fault or negligence of the nonperforming party. Such causes may include, but are not limited to, acts of God or the public enemy, fires, floods, epidemics, quarantine restrictions, freight embargoes, and unusually severe weather. This provision shall become effective only if the party failing to perform immediately notifies the other parties of the extent and nature of the problem, limits delay in performance to that required by the event, and takes all reasonable steps to minimize delays. This provision shall not be effective unless the failure to perform is beyond the control and without the fault or negligence of the nonperforming party.

I. Ownership of Documents/Work Product/Materials. All construction documents including but not limited to the plans, Computer Assisted Drawings (“CAD’s”), and specifications for the Project, whether complete or incomplete, and any other, reports, records, field notes, data, samples, specimens, and materials of any kind related to the construction of the Facility shall be considered all times to be the property of the City of Cheyenne until Granite Peak performs all duties and obligations under this Agreement, under the related Loan and Grant documents, and under the related Lease/Purchase Agreement, in which event the plans and specifications prepared for the Project shall be considered the property of Granite Peak. Nothing in this Agreement shall be construed to prevent or deny the City of Cheyenne or LEADS or their agents, employees, officers, representatives or officials from reviewing or having access to all construction documents. Notwithstanding anything else in this paragraph to the contrary, if Granite Peak exercises its option to purchase the Project in accordance with the terms set forth in the related Lease/Purchase Agreement, Granite Peak shall become the sole owner of all plans, CAD’s, and specifications for the Project.

J. Independent Contractor Relationships. It is specifically understood and agreed that the relationship of the parties is that of independent contractors and that the officers, employees and agents of one party are not acting as the officers, employees or agents of the other. No party or person representing any party hereto shall make any representation that he or she is an officer, agent, or employee of any other party.

K. This Agreement and the documents/exhibits referenced herein contain all the terms and conditions agreed to by the parties and constitutes the sole agreement between them regarding the subject matter of this Agreement and supersedes all understandings and agreements, whether oral or in writing, previously entered into by them with respect thereto.

L. Successors and Assigns. Neither LEADS nor Granite Peak shall assign or otherwise transfer any of the rights or delegate any of the duties set forth in this Agreement without the prior written consent of the City of Cheyenne. Granite Peak shall not use the Project, the rails, ties, related rail equipment or the property to be enclosed within the Project easements, or this Agreement, or any portion thereof for collateral for any financial obligation without the prior written consent of the City of Cheyenne. The terms of this Agreement shall bind the parties hereto and their permitted successors and assigns. The reference to permitted successors and assignees is not intended to constitute a consent to any assignment of this Agreement but has reference only to those instances in which specific written consent may have been given by the City of Cheyenne.

M. Modification. This Agreement may be amended or modified only in a writing signed by all the parties hereto.

N. Paragraph Headings. Paragraph headings are inserted primarily for convenience, and where they conflict with the text in the construction of this Agreement, the text shall control.

O. Waiver and Failure to Declare a Default. The failure of any party to declare a default or to enforce its respective rights under this Agreement shall not be construed as a waiver by such party of this right to do so for any such subsequent default or violation .

P. Interpretations. Whenever in this Agreement the singular is used and the plural would be applicable, then such usage of the singular shall be deemed and considered to include the plural, and vice versa. Whenever a particular gender is used and another gender is applicable, then such usage shall be deemed to consider and include the other, actually applicable gender.

Q. Invalid Provisions. It is understood and agreed that any term or provision of this Agreement which is invalid or unenforceable shall be ineffective only to the extent of such invalidity or un-enforceability without invalidating the remaining provisions hereof.

R. Facsimile Signatures and Counterparts. This Agreement may be executed in any number of counterparts, and each of such counterparts shall for all purposes be deemed to be an original, and all such counterparts shall together constitute but one and the same agreement. Also, this Agreement may be executed by facsimile, provided that the parties shall forthwith circulate and sign no less than four (4) copies of an original and one (1) signature page.

16. INDEMNITY:

Granite Peak shall indemnify, defend and hold the City of Cheyenne harmless from and against any and all claims of any nature whatsoever arising from or having connection with the performance of any duties by Granite Peak under this Agreement. Granite Peak shall indemnify, defend and hold the City of Cheyenne harmless from and against any and all claims of any nature whatsoever arising from or having connection with the performance of any duties by Granite Peak related in any way to this Agreement.

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In witness thereof, the parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood and agreed to the terms and conditions of this Agreement.

CITY OF CHEYENNE, WYOMING

Date

Richard L. Kaysen, Mayor

(SEAL)

Attest:

Carol Intlekofer, City Clerk

CHEYENNE-LARAMIE COUNTY
CORPORATION FOR ECONOMIC
DEVELOPMENT

Date

Name

Title

GRANITE PEAK DEVELOPMENT LIMITED
PARTNERSHIP

Date

Name

Title